would have paid had he not embarked on his tax adventure years earlier. He paid a modest fine and immodest legal fees. The deal was done.

There are a lot of tax strategies on offer. It is an arms race to find a loophole that the IRS has not noticed and then to use it before it is closed. One loophole tends to lead to another. Eventually, you have so many loopholes that your whole strategy gets a little loopy.

And, generally, the more complicated your strategy, the less effective it is. Lawyers and accountants get rich. You get poor, frustrated, and nervous. Many, maybe even most, are not worth the risk, the expense, and the familial wear and tear.

This is true not only of tax plans but also of trusts. You set something up. It sounds good. Then, conditions change and you find you are a prisoner of the system. You can't change it—not easily.

In the case of trusts, the key element is surrendering control of assets. If you give up control, the asset may be properly considered not yours. If it is not yours, the taxes that arise from it will no longer be your concern. At least that is the idea.

If you don't give up control, the tax authorities will generally consider that you are still the rightful owner. Gains will be attributed to you. Taxes will be expected from you.

But giving up control can be a frightening thing to do. You may have worked all your life to build up wealth. Then, by signing a document, you will no longer be able to decide what happens to it. Legal "ownership" could be in the hands of someone you don't even know: a trustee. What if the trustee stabs you in the back? How do you control the trustee? What can you do if the trustee absconds with your money?

The world of trusts is a scary world for many people. We wouldn't blame you if you didn't want to go there. But it seems to be the place to go if you want to preserve wealth over a long period of time.

A variant on the theme is the family corporation owned by a trust. This gives the family a greater measure of control over the source of its wealth. While the trustee may ultimately control the shares, at least the business can be directly controlled by the family.

Of course, there are many ways to secure your trust. There are trusts that give you the right to take back the assets you put in it. There are others that